Shyam Metalics & Energy Ltd: Concall Tracker

Is there a durable earning trigger, and has management been consistent about it? · Ticker SHYAMMETL (BSE 543299) · Quarter folder Q1-2027 · Builds on the Q4-2026 report (coverage to the 12 May 2026 call) · New call deep-read: Q1 FY27, 21 Jul 2026

1. Snapshot

What the business does: Shyam Metalics is an "ore-to-metal" metals maker in eastern India. It turns iron ore and coal into pellets, sponge iron, pig iron and billets, then into finished long steel (TMT bars, wire), and more and more into higher-value products: ferro alloys, aluminium foil, stainless steel, and cold-rolled and colour-coated (painted) steel sheet. It makes most of its own electricity, which keeps costs below most rivals. Sales are mostly in India through dealers, with some exports, mainly aluminium foil.

Measure	Value	Plain-English read
Market value today	≈ ₹36,157 cr	What the stock market says the whole company is worth (Screener, Nov 2026).
FY26 revenue	₹18,552 cr	Last full year's sales, up about a fifth on FY25.
FY26 net profit	₹1,060 cr	Up about a sixth, but only a little above FY24. Profit sat roughly flat for four years while sales jumped.
Q1 FY27 revenue	₹5,455 cr (+23% YoY)	Sales for Apr-Jun 2026, up nearly a quarter on a year ago and a touch above the record March quarter.
Q1 FY27 net profit	₹351 cr (+21% YoY)	Profit for the quarter, up about a fifth on last year and about an eighth on the March quarter.
Q1 FY27 EBITDA margin	14.9%	Operating profit (before interest, tax and depreciation) kept per ₹100 of sales, up from 14.3% a year ago and 14.4% last quarter.
Capex still to spend	≈ ₹9,580 cr	Money for already-announced plants, to be spent over the next 3-4 years, mostly from its own cash.

2. Concall coverage

Quarter	Call date	Transcript read?
Q3 FY23 → Q3 FY26 (11 calls)	Feb 2023 → Jan 2026	Carried forward from the Q4-2026 report
Q4 & FY26 (prior boundary)	12 May 2026	Read for the Q4-2026 report
Q1 FY27	**21 Jul 2026**	**Newly deep-read in full ★**

Only the new Q1 FY27 call was read in full this quarter. The three-year backstory comes from the prior report. Screener listed 18 calls and all downloaded. No call after 30 Sep 2026 was used.

★ Latest concall highlights: Q1 FY27 (21 Jul 2026)

- **Second strong quarter in a row.** Revenue ₹5,455 cr (+23% on last year), EBITDA ₹812 cr (+28%) and profit ₹351 cr (+21%). Profit grew faster than sales again, so the richer product mix is now reaching the bottom line, not just the top.
- **New plants switching on.** The expanded colour-coated / cold-rolling line went live in April 2026, taking cold-rolling capacity from 0.25 to 0.4 million tonnes (about 60% more). Aluminium foil-stock capacity in Odisha started commissioning, the flat-rolled aluminium project is due in Q2, and management expects the real aluminium payoff from Q3. More iron-making units and captive power plants land in Q2-Q3.
- **"Vision 2031" roadmap.** The pitch is to turn from a commodity steel maker into a diversified value-added metals group, with returns on equity and capital up 6-7 percentage points by 2031 and a long-term margin aim of 14-15% (the Chairman said 15-17% overall on the call). Stainless steel is targeted to go from a ₹130-140 cr run-rate to ₹600-700 cr once the new plant runs at 70-80%.
- **Guidance:** "more than 20%" growth for FY27, with the internal projection above 25%. Q1 volume grew about 14%, short of a 25% volume target an analyst cited, so the back half has to do the lifting.
- **Tone:** very confident, at times promotional ("speak less and deliver more"). A ₹4,500 cr fundraising approval was called an enabling resolution only, and the solar plan moved to a 26% stake in Emerge Green Power instead of building it in-house.

Business mix & capacity (quick facts)

Domestic vs export: Exports run at about ₹1,500-2,000 cr a year per the Chairman, roughly a tenth of sales; the rest is sold in India. Aluminium foil is the export-heavy piece.
Capacity use: No plant-wide utilisation figure was given on this call. Pig iron was earlier running at 100-120% of rating; the new cold-rolling capacity and aluminium foil-stock line are both still ramping, with the foil plant needing "3-4 months" to settle.

★ Since our last report

Builds on the Q4-2026 report (call of 12 May 2026). Prior verdicts: **trigger MAYBE**, **consistency YES**.

Prior read	What we said then	What the new call shows	Movement
Trigger (MAYBE)	Volume is growing but profit has been flat for four years; Q4 FY26 was the first hint of payoff.	A second quarter of profit and margin growth; margin 14.9%, profit +21%.	Improving
Consistency (YES)	Plants built on time; balance sheet kept clean.	Colour-coated line live in April as planned; aluminium commissioning started; "all projects on track".	Confirmed
Stainless steel earnings	Timeline kept slipping.	Still small (₹130-140 cr run-rate); payoff tied to a new plant around FY28-29.	On-track, unproven
Aluminium backward integration	Only just commissioning.	Foil-stock plant commissioned; more than ten months of foil orders; payoff from Q3.	On-track
Ever-growing capex	The "when does spending end" question never answered.	₹9,580 cr still to spend, and another downstream project is being studied, with a decision by Q3.	Unchanged
Iron-ore mine	Went quiet.	Formally parked: mine assets are "at a very high premium"; it will use a beneficiation plant for low-grade ore instead.	Dropped

Verdict change: trigger **upgraded to YES**, because the profit payoff the last report was waiting for has now shown up two quarters running. Consistency is **unchanged at YES**.

3. Earning Trigger thesis ★

The story hasn't moved in three years: keep climbing the value chain. Take cheap ore and self-made power, and instead of selling low-value pellets and sponge iron, make cold-rolled and painted sheet, aluminium foil, specialty alloys and stainless steel. Q1 FY27 is the second quarter where that shows up in profit, not just tonnes. The next leg is a run of plants landing between Q2 FY27 and FY29: aluminium flat-rolled products, more iron-making and power, a hot-rolled coil plant of close to 2 million tonnes, an auto-grade special-bar mill, and the stainless expansion.

Trigger	What management said	Evidence so far	Horizon	Strength	Change since last report
Value-added mix / margin uplift	Margin aim 14-15% long term, ROE/ROCE up 6-7 points by 2031.	Margin 14.9% in Q1, up from 14.3%; specialty alloy margin about 20%; cold-rolled EBITDA about ₹8,500 a tonne.	Now → 2031	Strong	↑ profit now growing with sales
Flat products (CR / colour-coated)	Flat-product numbers to "more than double" this year.	Capacity +60% live since April 2026.	FY27	Strong	↑ plant delivered
Aluminium foil & flat-rolled	Real value from Q3 FY27.	Foil-stock unit commissioned; ten-plus months of orders; aluminium EBITDA per tonne up about half on last year (helped by metal prices).	Q3 FY27 →	Moderate	↑ commissioning started
Stainless steel	₹600-700 cr run-rate once the new plant hits 70-80%.	Still a ₹130-140 cr run-rate today.	FY28-29	Unproven	unchanged
Captive / green power	More power plants in Q2; 26% stake in a solar partner to cut grid power.	Captive power edge already in place.	Q2 FY27 →	Strong	unchanged

The catch: it's still a metals business. Rebar prices fell into the monsoon (management calls it seasonal), aluminium gains partly came from metal prices, and Q1 volume grew slower than the full-year target. The capex keeps growing too, so free cash flow stays thin until the FY28-29 plants are earning.

4. Management Consistency scorecard

Period / theme	What was promised	What actually happened	Verdict
FY23 → FY26 capacity plan	Build pellets, blast furnace, coke oven, CRM, colour-coated, foil.	Built, mostly on or ahead of time (from prior report).	Delivered
~15-20% yearly growth	Double-digit growth every year.	FY26 sales +22%; Q1 FY27 +23%.	Delivered
Colour-coated expansion (FY26 calls)	Commission in early FY27.	Commissioned April 2026.	Delivered
Aluminium foil-stock (FY26 calls)	Commission around Q1 FY27.	Commissioning started in Q1; full ramp needs 3-4 months.	Delivered
Stainless steel (from FY23)	₹1,700-1,800 cr revenue "next year".	Still small; target pushed to the new plant in FY28-29.	Missed
Self-funded, low debt	Fund capex from internal cash.	₹575 cr spent in Q1 from own cash; ₹4,500 cr approval is enabling only.	Delivered
Iron-ore mine / DI pipe	Captive mine; DI pipe plant.	Both dropped; the mine is now formally ruled out on price.	Dropped
Vision 2031		New this quarter.	Too early

	ROE/ROCE up 6-7 points; margin 14-15%+.		

Narrative drift: very little. The value-chain story is the same one it told in 2023, and plants keep arriving roughly when promised. The soft spots haven't changed: stainless steel is still years from paying, the capex list keeps getting longer (another downstream project is under study), and the tone leans promotional. Management also keeps guiding low and beating it, which it openly says is a habit.

5. Bottom line: two verdicts

Durable earning trigger? → YES (vs last quarter: upgraded)

What moved it: the last report held back at MAYBE because years of capex had grown tonnes but not profit. That's now changed for two quarters straight. Q1 FY27 profit rose about a fifth with the margin at 14.9%, and the next set of plants (cold-rolled sheet already live, aluminium from Q3, iron and power in Q2-Q3) is already built or close to it. Stainless steel is still a promise, and steel prices can still swing a quarter, but the core driver is now showing in earnings.

Management consistent? → YES (vs last quarter: unchanged)

Nothing new broke the record. The colour-coated line and aluminium foil-stock plant arrived on schedule, growth beat guidance again, and capex is still paid from own cash. The blemishes carried over: stainless keeps slipping, two old projects were dropped, and the capex ask keeps growing. It's a Yes on delivery, with a watch on how long shareholders wait for free cash flow.

Concall-tracker report · Shyam Metalics & Energy Ltd (SHYAMMETL) · Sources: Q1 FY27 earnings-call transcript (21 Jul 2026, via Screener.in), the Q4-2026 concall-tracker report for earlier calls, Screener snapshot data. Not investment advice. Do your own due diligence.